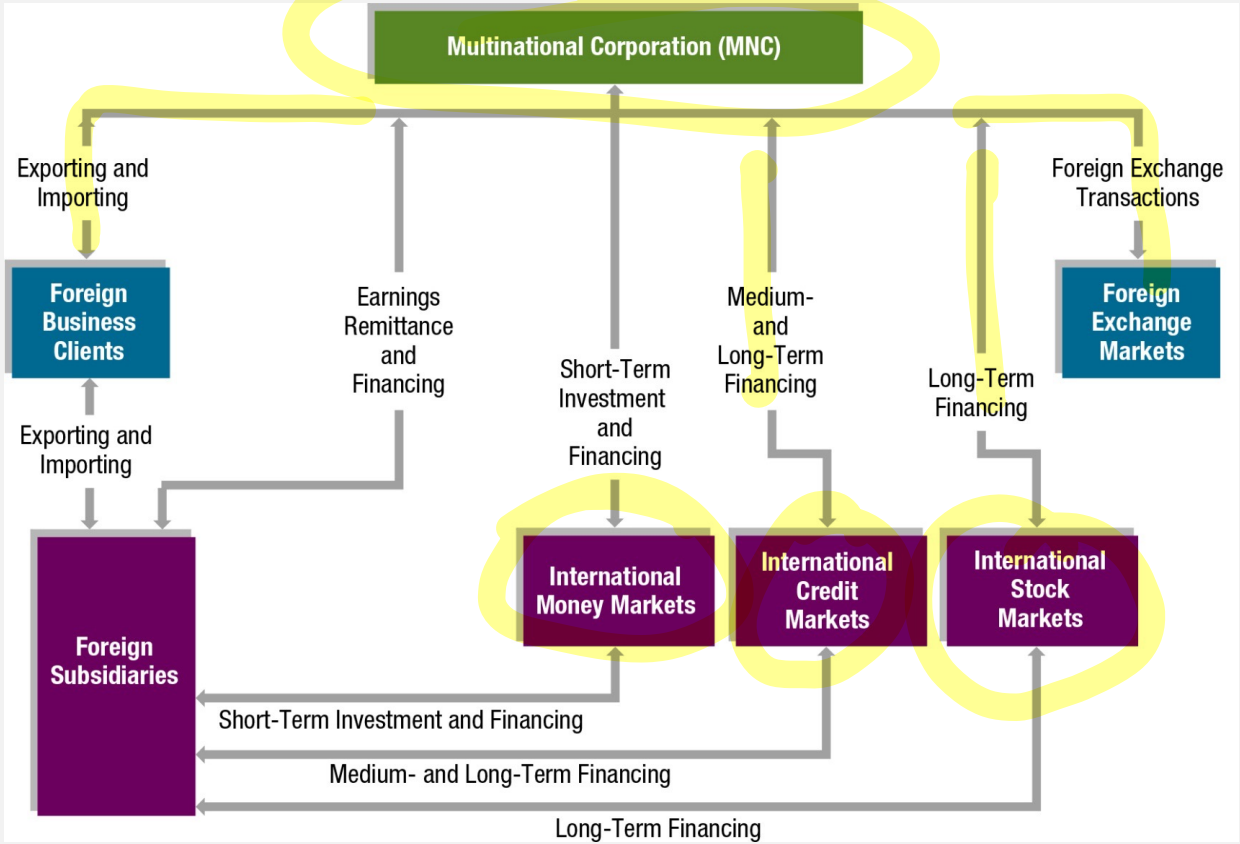
INTERNATIONAL FINANCIAL MARKETS

WHAT CONSTITUTES INTERNATIONAL FINANCIAL MARKETS

- Foreign exchange market
- International money market
- International credit market
- International bond market
- International stock markets

CASH FLOW OF A MULTINATIONAL CORPORATION



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HISTORY OF FOREIGN EXCHANGE

- Gold Standard (1876 - 1913)

  Each currency was convertible into gold at a specified rate. When World War I began in 1914, the gold standard was suspended.

- Agreements on Fixed Exchange Rates

  Bretton Woods Agreement 1944 - 1971

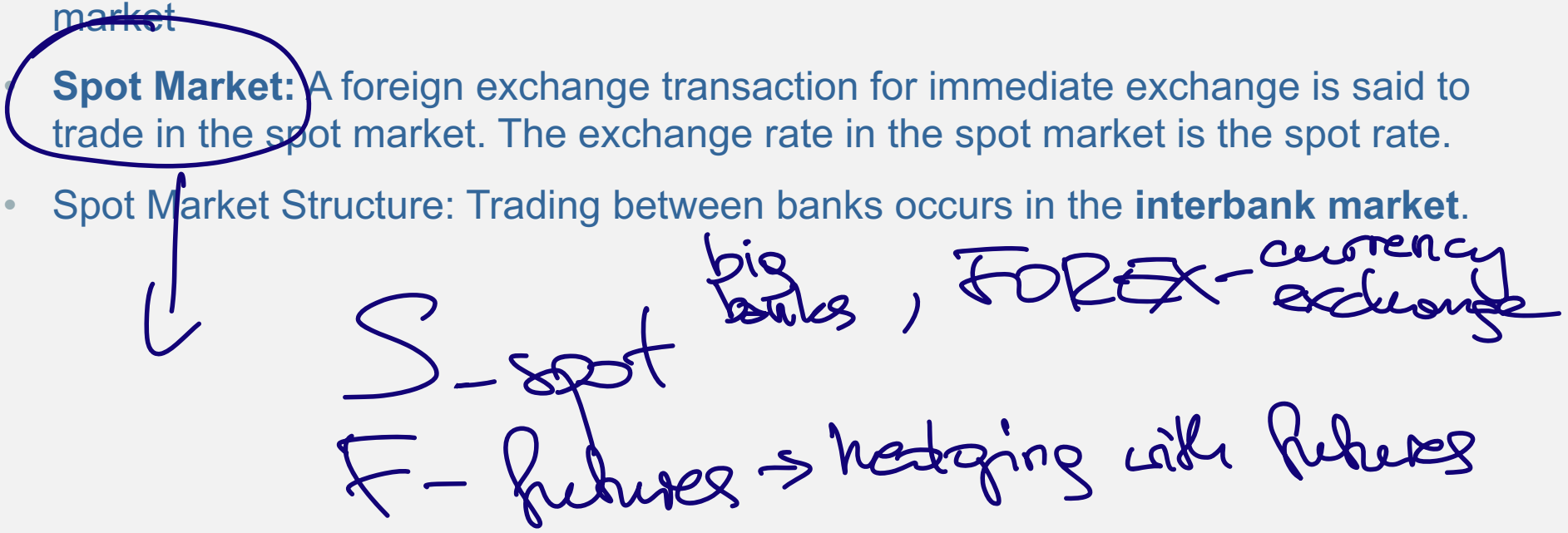
  Smithsonian Agreement 1971 - 1973

- Floating Exchange Rate System

  Widely traded currencies were allowed to fluctuate in accordance with market forces

FOREIGN EXCHANGE TRANSACTIONS

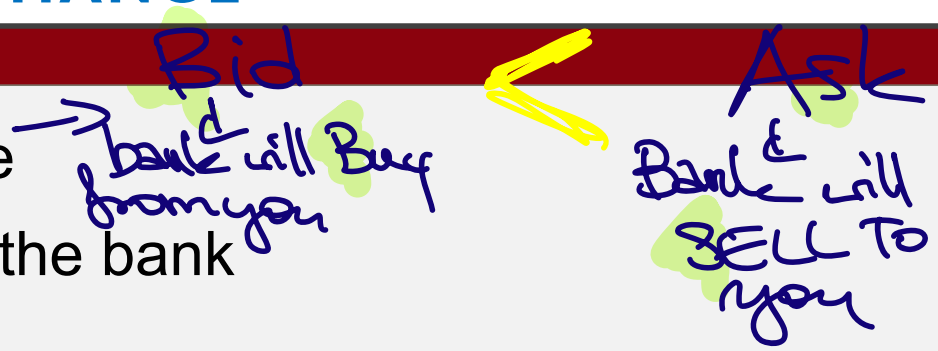
- The over-the-counter market is the telecommunications network where companies normally exchange one currency for another.
- **Foreign exchange dealers s**erve as intermediaries in the foreign exchange market
- **Spot Market:** A foreign exchange transaction for immediate exchange is said to trade in the spot market. The exchange rate in the spot market is the spot rate.
- Spot Market Structure: Trading between banks occurs in the **interbank market**.



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ATTRIBUTES OF BANKS THAT PROVIDE FOREIGN EXCHANGE

- Competitiveness of quote
- Special relationship with the bank
- Speed of execution
- Advice about current market conditions
- Forecasting advice



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Bid - Bank will buy from you

Ask - Bank will sell to you

Bank's profit: Bid/Ask **Spread**

$$\text{Spread} = \frac{\text{Ask} - \text{Bid}}{\text{Ask}}$$

You want to exchange Euro's.
The bank's bid quote is \$1.20/€
and ask is \$1.25/€.

Calculate Bid/Ask spread:

$$\frac{\$1.25/€ - \$1.20/€}{\$1.25/€} =$$

$$= \frac{\$0.5/€}{\$1.25/€} = 4\%$$

Direct versus indirect exchange rate over time

When the euro is **appreciating** against the dollar (based on an upward movement of the direct exchange rate of the euro), the indirect exchange rate of the euro is declining.

When the euro is **depreciating** (based on a downward movement of the direct exchange rate) against the dollar, the indirect exchange rate is rising.

$1.20/€ vs $1.30/€

stronger $ stronger €

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FOREIGN EXCHANGE TRANSACTIONS (CONT.)

- **Use of the dollar in spot markets:** The U.S. Dollar is the commonly accepted medium of exchange in the spot market. This is especially true in countries where the home currency is weak or subject to restrictions.
- **Spot market time zones:** Foreign exchange trading is conducted only during normal business hours in a given location. Thus, at any given time on a weekday, somewhere around the world a bank is open and ready to accommodate foreign exchange requests.
- **Spot market liquidity**: More buyers and sellers means more liquidity.

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↑ stronger USD

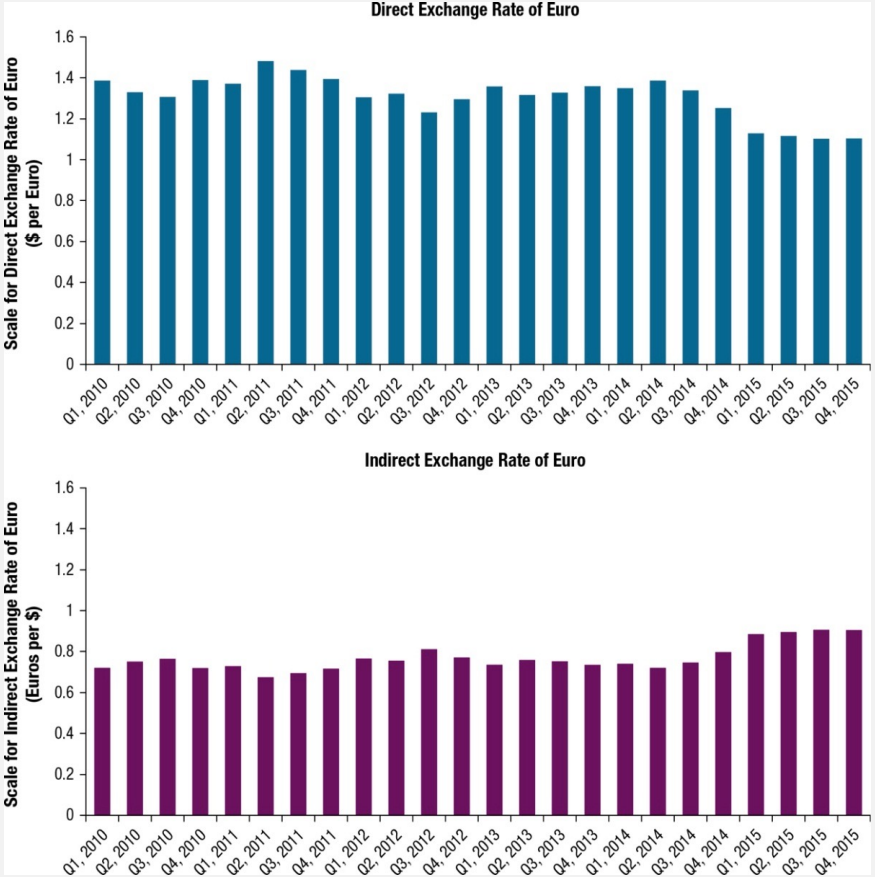
(1) CURRENCY	(2) DIRECT QUOTATION (dollars per unit) AT START OF PERIOD	(3) INDIRECT QUOTATION (units per dollar) AT START OF PERIOD	(4) DIRECT QUOTATION AT END OF PERIOD	(5) INDIRECT QUOTATION AT END OF PERIOD
Canadian dollar	↑ $.66 /CAD	1.51	$.70 /CAD	1.43
Euro	$1.031	.97	$1.064	.94
Japanese yen	$.009	111.11	$.0097	103.09
Mexican peso	$.12	8.33	$.11	9.09
Swiss franc	$.62	1.61	$.67	1.49
U.K. pound	$1.50	.67	$1.60	.62

→ indirect quote = inverse of direct quote

CAD : 1/$0.66/CAD = CAD 1.515/USD

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RELATIONSHIP OVER TIME
EURO'S DIRECT AND INDIRECT EXCHANGE RATES



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→ Cross Exchange Rates

$\$0.12/MXN$

$\$0.66/CAD$

What is MXN/CAD exchange rate?

$$\frac{\$0.12}{MXN} \Big/ \frac{\$0.66}{CAD} = \frac{\$0.12}{MXN} \cdot \frac{CAD}{\$0.66} =$$

$$= CAD\,0.18/MXN$$

↑ direct quote in Canada

$$\left[a/b = a \cdot \frac{1}{b} \right]$$

$$MXN/CAD: \frac{1}{CAD\,0.18/MXN} = MXN\,5.56/CAD$$

↑ direct quote in Mexico

Presence in international financial markets:

→ Managing risk
- pay for expenses with borrowing in same currency
- more stable foreign markets

→ Higher interest rates
- banks may have higher margins in higher interest rate environments
- MNC can advantage of lower interest rates when borrowing

→ if you invest in foreign market and later foreign currency appreciates => the value of your investment goes up

→ if you borrow in foreign market & foreign currency appreciates, the value of your loan is going to go up (you owe more)

INTERNATIONAL MONEY MARKET

Corporations or governments need **short-term funds** denominated in a currency different from their home currency.

The international money market has grown because firms:

- May need to borrow funds to **pay for imports** denominated in a foreign currency.
- May choose to borrow in a currency in which the **interest rate is lower**.
- May choose to borrow in a currency that is **expected to depreciate** against their home currency

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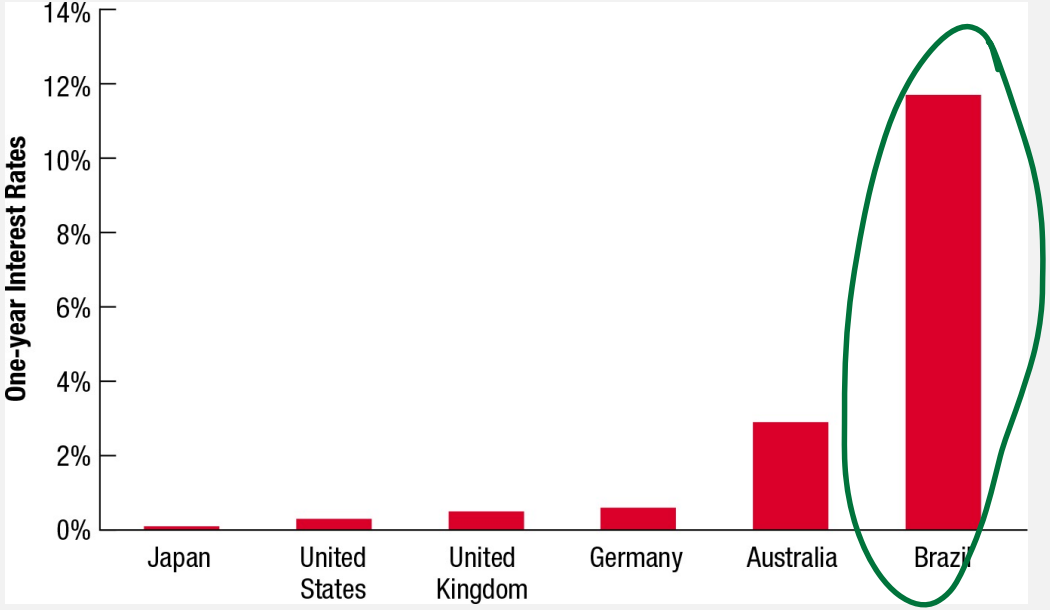
Origins and Development

- **European Money Market:** Dollar deposits in banks in Europe and other continents are called **Eurodollars** or Eurocurrency. Origins of the European money market can be traced to the Eurocurrency market that developed during the 1960s and 1970s.

- **Asian Money Market:** Centered in Hong Kong and Singapore. Originated as a market involving mostly dollar-denominated deposits, and was originally known as the Asian dollar market.

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INTERNATIONAL MONEY MARKET INTEREST RATES



INTERNATIONAL CREDIT MARKETS

MNCs sometimes obtain medium-term funds through term loans from local financial institutions or through the issuance of notes (medium-term debt obligations) in their local markets.

Loans of 1 year or longer extended by banks to MNCs or government agencies in Europe are commonly called Eurocredits or **Eurocredit loans**.

A **syndicate** of banks can be formed to underwrite the loans and the lead bank is responsible for negotiating the terms with the borrower.

- Typically when a single bank is unwilling or unable to lend the amount needed by an MNC or government agency

To avoid interest rate risk, banks commonly use floating rate loans with rates tied to the **London Interbank Offer Rate (LIBOR).**

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REGULATIONS IN THE CREDIT MARKET

- **Single European Act**
  - Capital can flow freely throughout Europe.
  - Banks can offer a wide variety of lending, leasing, and securities activities in the EU.
  - Regulations regarding competition, mergers, and taxes are similar throughout the EU.
  - A bank established in any one of the EU countries has the right to expand into any or all of the other EU countries.
- **Basel Accord** (I, II, III)— Banks must maintain a high level of capital as a percent of their assets. For this purpose, banks' assets are weighted by risk.

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INTERNATIONAL BOND MARKET

Foreign bonds are issued by borrower foreign to the country where the bond is placed.

Eurobonds

- Features of Eurobonds
  - Bearer bonds, few covenants
  - Annual coupon payments
  - Convertible or callable
- Denominations of Eurobonds
  - Commonly denominated in a number of currencies
- Secondary Market
  - Market makers are in many cases the same underwriters who sell the primary issues

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DEVELOPMENT OF OTHER BOND MARKETS

- Bond markets have developed in Asia and South America.
- Bond market yields among countries tend to be highly **correlated** over time.
- When economic conditions **weaken**, aggregate demand for funds declines with the decline in corporate expansion.
- When economic conditions **strengthen**, aggregate demand for funds increases with the increase in corporate expansion.

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RISK OF INTERNATIONAL BONDS

- **Interest Rate Risk —** potential for the value of bonds to decline in response to rising long-term interest rates.
- **Exchange Rate Risk —** represents the potential for the value of bonds to decline (from the investor's perspective) because the currency denominating the bond depreciates against the home currency.
- **Liquidity Risk —** represents the potential for the value of bonds to decline because there is not a consistently active market for the bonds.
- **Credit Risk —** represents the potential for default.

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Issuance of Stock in Foreign Markets — Some U.S. firms issue stock in foreign markets to enhance their global image.

- Impact of the Euro: resulted in more stock offerings in Europe by U.S. and European based MNCs.

Issuance of Foreign Stock in the U.S.

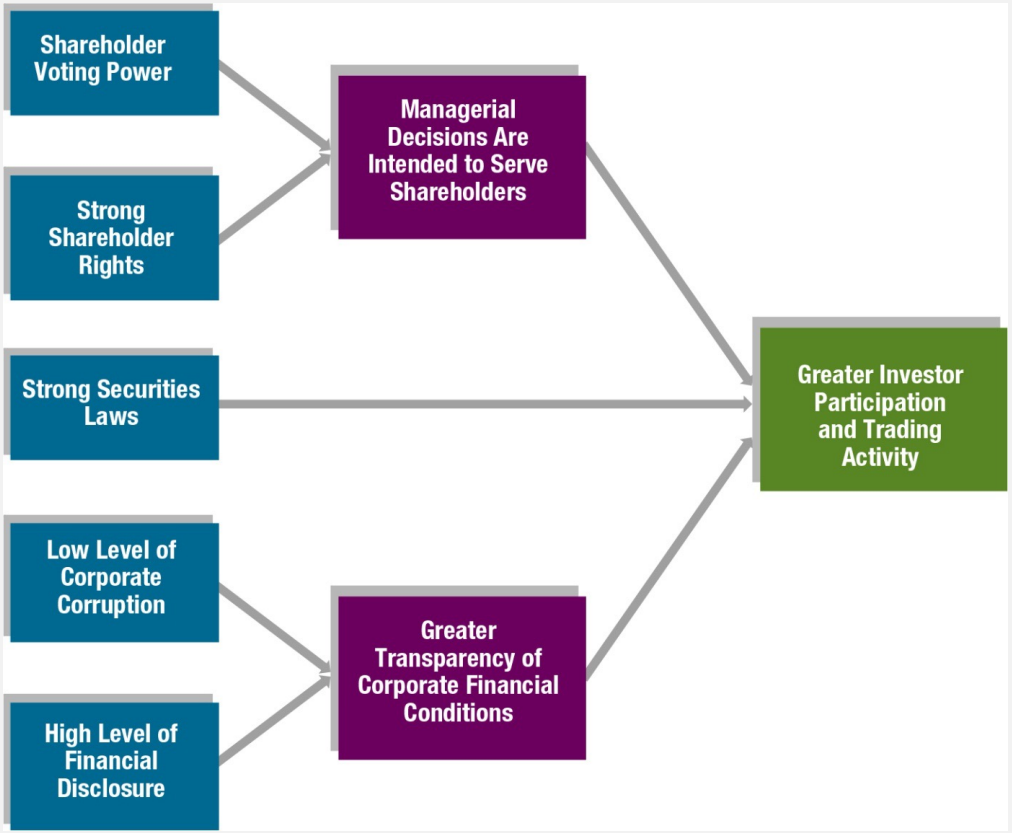
- **Yankee stock offerings** — Non-U.S. corporations that need large amounts of funds sometimes issue stock in the United States
- **American Depository Receipts** (ADR) — Certificates representing bundles of stock. ADR shares can be traded just like shares of a stock.

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COMPARISON OF STOCK EXCHANGES

COUNTRY	MARKET CAPITALIZATION (billions of dollars)	NUMBER OF LISTED COMPANIES
Argentina	60	101
Australia	1,622	2,071
Brazil	823	308
Chile	225	308
China	6,270	2,635
Greece	22	244
Hong Kong	3,324	1,763
Hungary	13	48
Japan	4,485	3,470
Mexico	460	147
Norway	219	220
Slovenia	6	77
Spain	942	3,460
Switzerland	1,515	275
Taiwan	860	882
United Kingdom	6,187	2,938
United States	19,222	5,250

IMPACT OF GOVERNANCE ON STOCK MARKET PARTICIPATION AND TRADING ACTIVITY



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